



Normal VR / Normcore

Case Study

Aug 2025



Part 1: Revenue Projection

Top-Down Approach to Revenue Forecasting

Determining an approach for forecasting Normcore Public's future monthly revenues considers the following:

- A small sample size of historical revenue instances (25 months)
- Seasonality: strong performance during Dec/Jan; weak performance during Sep/Nov)
- Trend: moderate relationship between revenue and time with $R^2 =$
 - Linear: 0.597 (**selected for M1**)
 - Exponential: 0.6
 - Polynomial (2nd degree): 0.611

Model	1. Linear Regression w/ Monthly Variables & Trend	2. Seasonality Index + Trend	Finding
In-sample R^2	0.970	0.835	M1 explains a higher % of historical variance
Linear Trend	0.80	0.738	Straight line matches M1 with 80% fit
Standard Deviation	770	1,814	Forecast errors are +/- 770 for M1
Standard Error	1,089	1,895	In-sample miss is ~\$1.1K for M1
Abs. Avg. Residual Spread	508	1,523	On average, each month is off by ~\$508 for M1

Top-Down Approach (Cont.)

While Model 1 is - on the surface - a more desirable approach, it may be refined via the following:

- Adjust Dummy Variables: Consider whether monthly dummies are appropriate (e.g., as opposed to quarterly dummies). This will increase the model's flexibility, especially if specific months fluctuate, whereas corresponding 3-month periods are more accurate
- Consider Alternative Regression Models: Although a linear function was used, both exponential and polynomial R^2 values indicated a slightly better fit, which merits exploration
- Additional Statistical Measures: Consider over/under autocorrelation through Durbin-Watson tests, or adding sensitivity analyses to inform risk tolerance ranges

Further cons of using a top-down model:

- Revenue is comprised of many individual developers on the Pro tier, who are charged a base price + excess bandwidth
 - The number of developers may increase (e.g. as new titles onboard), or decrease (e.g., sunset game, move to different provider, etc)
- Predictable revenue includes the number of devs on the Pro tier x \$49/mo
- Unpredictable revenue includes excess bandwidth. Due to the high degree of fluctuation in monthly revenue, there is either a collective increase/decrease in playtime across all titles, OR select titles may be disproportionately responsible for the swings

Thus, forecasting revenues may be better suited to a “Bottom-Up” approach

Bottom-Up Approach

A bottom-up approach involves breaking down the key components of growth into underlying revenue drivers, which better represent Normcore Public's new business and net retention

1. Identify key revenue drivers

- Number of titles using the Pro tier
 - Consider CRM pipeline, contractual terms
 - Churn (curve based on tenure, ARPU, etc.)
- Historical engagement (DAU/MAU) & usage (room hours & bandwidth) per title
 - Segment the titles (e.g., by size, genre, core gameplay, etc.)
- Pricing
 - Fixed: \$49/mo
 - Variable: \$0.03/hr > 10K room hours + \$0.10/GB > 3TB bandwidth)

2. Determine how revenue drivers impact MRR/ARR

- Active number of titles = starting titles + new titles (from pipeline) - churn
- Obtain DAU/MAU, sessions per DAU, avg. session length, and bitrate from each title, to inform billable metrics in the pricing model₍₁₎
- Update the variable component of the pricing model to arrive at MRR per title

3. Aggregate and validate against other models

- Back-test model using historical actuals to compare bottom-up approach to top-down regression

Notes: (1) If the majority of developers are unwilling to share game data, consider offering a promo for select developers, back-solve DAU using room hours, and create genre benchmarks for avg sessions & session time)



Part 2: Top-Earning Game Insights

50 Top-Earning Titles Summary

A sample of the 50 top-earning titles were selected from the Meta Quest Store to derive insights

Metric	Title Type		
	Paid	Free	Total
Number of Titles	35	15	50
Avg. Price	\$27.31		
Type			
Game	34	12	46
App	1	3	4
Genre			
Unique Genres	20	12	25
Genre Tags	80	32	112

Top 5 Genres⁽²⁾:

- **All Titles:** The top 5 genres made up 58% of the total tags:
 - Action (22), Sandbox (12), Simulation (10), Sports (10), Shooter (9)
- **Paid Titles:** The top 5 genres made up 61% of the total tags:
 - Action (16), Simulator, Sandbox (12), Shooter (9), Survival (8)
- **Free Titles:** The top 5 genres made up 69% of the total tags:
 - Action (6), Hangout (5), Sandbox (4), Sports (4), Simulation (3)

50 Top-Earning Titles Summary (Cont.)

Evaluating the top earning titles by decile reveals the top 10 dramatically outperform the remainder by way of # of reviews

- Thus- this may be a useful metric to estimate the revenue per title

Decile by Rank: Top Selling - Weekly (All)					
Rank	Avg. Price	# of Free Apps	# of Paid Apps	Avg. Rating	Avg. # of Reviews
1-5	\$16.20	3	2	4.70	67,600
6-10	\$7.80	4	1	4.18	59,200
11-15	\$18.99	2	3	4.46	39,200
16-20	\$20.70	1	4	4.24	12,909
21-25	\$19.30	1	4	4.28	8,860
26-30	\$14.59	2	3	4.78	28,160
31-35	\$23.70	0	5	4.60	6,888
36-40	\$29.79	1	4	4.48	12,174
41-45	\$19.49	0	5	4.48	4,040
46-50	\$20.59	1	4	4.26	15,200
Avg (Total)	\$19.12	1.5	3.5	4.45	25,423
<i>Avg (Top 10)</i>	<i>\$12.00</i>	<i>3.5</i>	<i>1.5</i>	<i>4.44</i>	<i>63,400</i>
<i>Avg (Non-Top 10)</i>	<i>\$20.90</i>	<i>1.0</i>	<i>4.0</i>	<i>4.45</i>	<i>15,929</i>

Decile by Rank: Top Selling - Weekly (Paid)				
Paid Rank	Avg. Price	# of Apps	Avg. Rating	Avg. # of Reviews
1-5	\$34.79	5	4.54	41,400
6-10	\$28.89	5	4.46	27,649
11-15	\$21.09	5	4.46	12,660
16-20	\$26.20	5	4.62	9,488
21-25	\$29.09	5	4.76	15,880
26-30	\$25.09	5	4.54	3,194
31-35	\$25.99	5	4.14	6,980
36-40				
41-45				
46-50				
Avg (Total)	\$27.31	5.0	4.50	16,750
<i>Avg (Top 10)</i>	<i>\$31.84</i>	<i>5.0</i>	<i>4.50</i>	<i>34,524</i>
<i>Avg (Non-Top 10)</i>	<i>\$25.49</i>	<i>5.0</i>	<i>4.50</i>	<i>9,640</i>

Decile by Rank: Top Selling - Weekly (Free)				
Free Rank	Avg. Price	# of Apps	Avg. Rating	Avg. # of Reviews
1-5	\$0.00	5	4.52	89,000
6-10	\$0.00	5	4.06	20,860
11-15	\$0.00	5	4.36	27,120
16-20				
21-25				
26-30				
31-35				
36-40				
41-45				
46-50				
Avg (Total)	\$0.00	5.0	4.31	45,660
<i>Avg (Top 10)</i>	<i>\$0.00</i>	<i>5.0</i>	<i>4.29</i>	<i>54,930</i>
<i>Avg (Non-Top 10)</i>	<i>\$0.00</i>	<i>5.0</i>	<i>4.36</i>	<i>27,120</i>

Notes: (1) Source: Meta Quest Store 7/27/2025 [LINK](#). See Appendix II for more details, (2) See Appendix III for genre summary

Drill-Down: Top 20 Earning Titles

The top 20 earning titles (10 paid / 10 free) were further examined to include launch date, types of monetization, and IAP price ranges

- 6/10 paid titles did not offer any IAP beyond the paid game
- Free titles, on average, commanded a higher price range for IAP vs paid titles

Rank	Title	Rating	# of Reviews	Price (1)	Launch Date	Monetization						IAP Price Range (1)		Notes
						Paid Game	Bundle (2)	DLC	Cosmetics	Soft Currency	Subscriptions	Low	High	
1	Beat Saber	4.5	53,000	\$35	5/21/2019	Y	Y	Y	Y			\$2.29	\$26.99	
2	Scary Baboon	4.7	45,000	\$0	7/13/2023				Y	Y		\$5.79	\$54.99	
3	Animal Company	4.8	134,000	\$0	7/3/2024				Y	Y		\$6.99	\$54.99	
4	Yeeps 2.0	4.9	75,000	\$0	7/18/2024				Y	Y		\$6.99	\$40.99	
5	BONELAB	4.6	31,000	\$46	9/29/2022	Y								
6	Gorilla Tag	4.5	159,000	\$0	12/15/2022				Y	Y		\$34.99	\$40.99	(3)
7	Blade & Sorcery: Nomad	4.3	58,000	\$39	11/4/2021	Y								(4)
8	VRChat	3.7	32,000	\$0	5/21/2019				Y	Y	Y	n/a	n/a	(5)
9	Supernatural: Unreal Fitness	4.4	13,000	\$0	4/23/2020						Y	\$13.99	\$13.99	
10	PokerStars - Vegas Infinite	4	34,000	\$0	5/17/2019				Y	Y		\$25.51	\$39.99	
11	I Am Cat	4.9	63,000	\$27	12/5/2024	Y	Y		Y			\$26.99	\$26.99	
12	Rec Room	4.1	35,000	\$0	5/21/2019				Y	Y	Y	\$6.99	\$69.99	(6)
13	FitXR: The Original VR Fitness App	4.1	13,000	\$0	5/21/2019						Y	\$16.99	\$16.99	(7)
14	HARD BULLET	4.4	2,000	\$27	5/27/2025	Y								
15	GOLF+	4.8	83,000	\$41	5/8/2020	Y		Y		Y		\$6.99	\$40.99	
16	Cave Crane	4.4	243	\$20	6/26/2025	Y								
17	Virtual Desktop	4.3	10,000	\$29	5/21/2019	Y								
18	Ghosts of Tabor	4.2	25,000	\$29	2/8/2024	Y	Y	Y	Y			\$3.99	\$20.69	(8)
19	Roblox	3.7	9,300	\$0	7/27/2023			Y	Y	Y	Y	n/a	n/a	
20	Job Simulator	4.6	20,000	\$26	5/21/2019	Y								
Total						10	3	4	11	9	5	Avg	\$13.21	\$37.38
Paid						10	3	3	3	1	0		\$10.07	\$28.92
Free						0	0	1	8	8	5		\$14.78	\$41.61

Notes: (1) Source: Quest Store, unless otherwise noted. Prices are denoted in \$CAD. \$USD converted to \$CAD at 1 : 1.4. Subscription only price ranges are denoted using monthly amount; (2) Bundles include the paid game & IAP content. Bundle pricing is typically at a discount to the price of purchasing the individual items; (3) Game released in early access during 2019. 1.0 release in Oct 2024; (4) Quest Store page indicates soft currency is included in all cosmetic bundles, however users have reported being able to directly buy soft currency; (5) Source: [LINK](#); (6) Source: [LINK](#); (7) Source: [LINK](#); (8) Certain add-ons confer in-game utility (e.g., weapons and ammo)

Estimate Monetization for Paid Titles

1. Use 'Star Ratings : Sales' multipliers⁽¹⁾ estimates the number of players leaving a star rating based on release year

- 2021 releases: 1/108 players
- 2022 releases: 1/101 players
- 2023 releases: 1/71 players

This was applied to the top 10 paid titles surveyed:

Rank	Title	Rating	# of Reviews	Price (1)	Launch Date	Star Ratings : Sales Multiplier	
						# of Sales	Lifetime Revenue
1	Beat Saber	4.5	53,000	\$35	5/21/2019	5,724,000	\$200,282,760
5	BONELAB	4.6	31,000	\$46	9/29/2022	3,131,000	\$143,994,690
7	Blade & Sorcery: Nomad	4.3	58,000	\$39	11/4/2021	6,264,000	\$244,233,360
11	I Am Cat	4.9	63,000	\$27	12/5/2024	4,473,000	\$120,726,270
14	HARD BULLET	4.4	2,000	\$27	5/27/2025	142,000	\$3,832,580
15	GOLF+	4.8	83,000	\$41	5/8/2020	8,964,000	\$367,434,360
16	Cave Crave	4.4	243	\$20	6/26/2025	17,253	\$344,887
17	Virtual Desktop	4.3	10,000	\$29	5/21/2019	1,080,000	\$31,309,200
18	Ghosts of Tabor	4.2	25,000	\$29	2/8/2024	1,775,000	\$51,457,250
20	Job Simulator	4.6	20,000	\$26	5/21/2019	2,160,000	\$55,101,600
Avg						3,373,025	\$121,871,696

Notes: (1) Source: Quest Store, unless otherwise noted. Prices are denoted in \$CAD. \$USD converted to \$CAD at 1 : 1.4; (2) Source: GameDiscoverCo [LINK](#). Estimates for 2024 and 2025 use the latest figure available (2023).

Next Steps

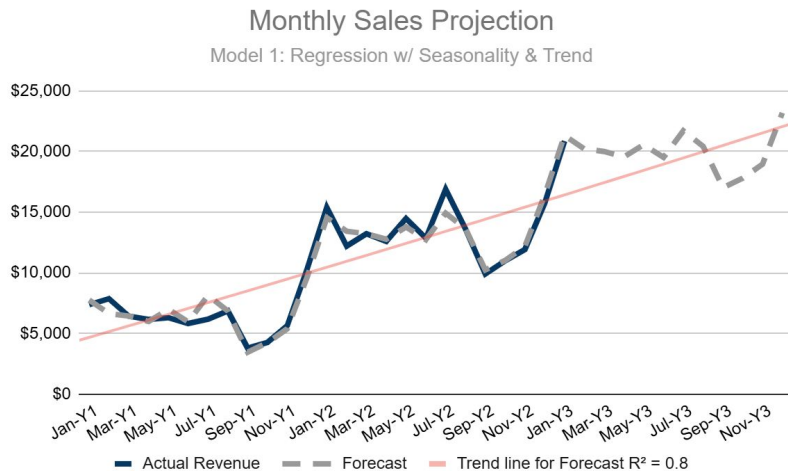
- **Apply a proprietary genre-tagging to supplement the tags provided by the Meta Store**
 - Several titles in the store are inconsistently tagged (e.g., Vader I is Action, Vader III is Role Playing)
 - Furthermore, this can be used to establish a “main genre” vs “sub-genre” hierarchy, further informing segmentation
 - May be used to identify niche titles (e.g., Gorilla Tag clones)
- **Catalog games by rating**
 - Helps determine avg. age of customer base
- **Use 3rd-party data to benchmark monetization for free titles**
 - Consider mobile F2P, SteamDB, etc.
- **Compare sources for revenue estimates**
 - E.g., Gamalytic’s Steam Analytics ratio of Revenue / Copies Sold to Curran Games (GameDiscoverCo)
- **Apply a discount to titles that provide rewards for reviews**
 - E.g., I Am Cat rewards users with cosmetic items for leaving a review [LINK](#)
- **On a weekly basis, track the history of “Top New Titles” and “Top Earning Titles”**
 - Overlap between the two may serve as early indicators of breakthrough genres/niches for the Normal Studios team

APPENDIX

Appendix I: Revenue Model Summary

Model 1: Linear Regression w/ Monthly Variables & Trend

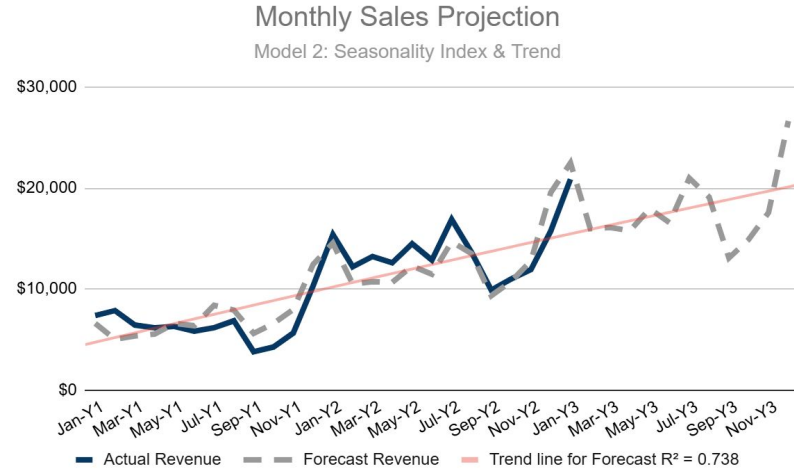
Month	Revenue Amounts			YoY Change	
	Year 1	Year 2	Year 3	Year 2	Year 3
January	\$7,371.61	\$15,396.58	\$20,868.89	108.9%	35.5%
February	\$7,866.18	\$12,205.63	\$20,222.98	55.2%	65.7%
March	\$6,429.33	\$13,222.21	\$20,012.84	105.7%	51.4%
April	\$6,159.02	\$12,595.71	\$19,564.44	104.5%	55.3%
May	\$6,296.13	\$14,477.95	\$20,574.11	129.9%	42.1%
June	\$5,819.37	\$12,864.42	\$19,528.97	121.1%	51.8%
July	\$6,164.46	\$16,900.00	\$21,719.30	174.2%	28.5%
August	\$6,857.00	\$13,632.50	\$20,431.82	98.8%	49.9%
September	\$3,787.81	\$9,902.53	\$17,032.24	161.4%	72.0%
October	\$4,252.14	\$10,995.27	\$17,810.78	158.6%	62.0%
November	\$5,638.72	\$11,923.80	\$18,968.33	111.5%	59.1%
December	\$10,304.47	\$15,730.76	\$23,204.69	52.7%	47.5%
Total	\$76,946.24	\$159,847.36	\$239,939.38	107.7%	50.1%



Appendix I: Revenue Model Summary (Cont.)

Model 2: Seasonality Index + Trend

Month	Revenue Amounts			YoY Change	
	Year 1	Year 2	Year 3	Year 2	Year 3
January	\$7,371.61	\$15,396.58	\$20,868.89	108.9%	35.5%
February	\$7,866.18	\$12,205.63	\$15,973.82	55.2%	30.9%
March	\$6,429.33	\$13,222.21	\$16,086.55	105.7%	21.7%
April	\$6,159.02	\$12,595.71	\$15,779.22	104.5%	25.3%
May	\$6,296.13	\$14,477.95	\$17,950.94	129.9%	24.0%
June	\$5,819.37	\$12,864.42	\$16,569.89	121.1%	28.8%
July	\$6,164.46	\$16,900.00	\$20,979.79	174.2%	24.1%
August	\$6,857.00	\$13,632.50	\$19,103.84	98.8%	40.1%
September	\$3,787.81	\$9,902.53	\$13,076.03	161.4%	32.0%
October	\$4,252.14	\$10,995.27	\$14,910.21	158.6%	35.6%
November	\$5,638.72	\$11,923.80	\$17,573.78	111.5%	47.4%
December	\$10,304.47	\$15,730.76	\$26,644.39	52.7%	69.4%
Total	\$76,946.24	\$159,847.36	\$215,517.37	107.7%	34.8%



Notes: (1) See model for additional details: [LINK](#)

Appendix II: Top-Earning Games (1-25)

Rank	Title	Rating	# of Reviews	Type	Price	Genre 1	Genre 2	Genre 3	Paid Rank	Free Rank
1	Beat Saber	4.5	53,000	Games	\$35	Rhythm	Arcade		1	
2	Scary Baboon	4.7	45,000	Games	\$0	Action	Hangout	Strategy		1
3	Animal Company	4.8	134,000	Games	\$0	Action				2
4	Yeeps 2.0	4.9	75,000	Games	\$0	Action	World Creation	Sandbox		3
5	BONELAB	4.6	31,000	Games	\$46	Action	Shooter	Sandbox	2	
6	Gorilla Tag	4.5	159,000	Games	\$0	Action				4
7	Blade & Sorcery: Nomad	4.3	58,000	Games	\$39	Action	Sandbox		3	
8	VRChat	3.7	32,000	Games	\$0	Hangout				5
9	Supernatural: Unreal Fitness	4.4	13,000	Apps	\$0	Fitness & Wellness				6
10	PokerStars - Vegas Infinite	4	34,000	Games	\$0	Tabletop	Hangout	Simulation		7
11	I Am Cat	4.9	63,000	Games	\$27	Action	Adventure	Sandbox	4	
12	Rec Room	4.1	35,000	Games	\$0	World Creation	Sandbox	Hangout		8
13	FitXR: The Original VR Fitness App	4.1	13,000	Apps	\$0	Fitness & Wellness	Sports	Community		9
14	HARD BULLET	4.4	2,000	Games	\$27	Sandbox	Action	Shooter	5	
15	GOLF+	4.8	83,000	Games	\$41	Sports	Simulation		6	
16	Cave Crave	4.4	243	Games	\$20	Action	Adventure	Survival	7	
17	Virtual Desktop	4.3	10,000	Apps	\$29	Computer Link			8	
18	Ghosts of Tabor	4.2	25,000	Games	\$29	Shooter	Survival		9	
19	Roblox	3.7	9,300	Games	\$0	World Creation	Sandbox	Hangout		10
20	Job Simulator	4.6	20,000	Games	\$26	Simulation			10	
21	Crowbar Climber	4.5	6,500	Games	\$10	Action	Arcade		11	
22	The Walking Dead: Saints & Sinners	4.6	22,000	Games	\$26	Shooter	Survival	Narrative	12	
23	WIN Reality Baseball	4	3,000	Apps	\$0	Sports				11
24	Pavlov Shack	4.2	6,000	Games	\$26	Action			13	
25	Creed: Rise to Glory - Championship Edition™	4.1	6,800	Games	\$35	Sports	Simulation	Fighting	14	

Notes: (1) Source: Meta Quest Store 7/27/2025 [LINK](#)

Appendix II: Top-Earning Games (26-50) (Cont.)

Rank	Title	Rating	# of Reviews	Type	Price	Genre 1	Genre 2	Genre 3	Paid Rank	Free Rank
26	MotoX	4.9	22,000	Games	\$9	Racing	Sports		15	
27	VRFS - Football (Soccer) Simulator	4.6	7,800	Games	\$0	Sports	Simulation			12
28	Gym Class	4.9	77,000	Games	\$0	Sports	Simulation			13
29	SUPERHOT VR	4.7	19,000	Games	\$29	Action	Shooter		16	
30	Five Nights at Freddy's: Help Wanted	4.8	15,000	Games	\$35	Survival			17	
31	Battle Talent	4.6	3,700	Games	\$26	Action	Adventure	Fighting	18	
32	Contractors	4.2	9,200	Games	\$26	Action	Shooter		19	
33	Newton's Playground : Physics Sandbox	4.8	539	Games	\$16	Sandbox	Action	Shooter Access	20	
34	Real VR Fishing	4.6	8,000	Games	\$26	Sports	Simulation	Hangout	21	
35	Waltz of the Wizard	4.8	13,000	Games	\$26	Adventure	Sandbox	Simulation	22	
36	I Am Security	4.8	42,000	Games	\$14	Simulation Access			23	
37	Bwah	3.5	1,800	Games	\$0	Action	Sandbox	Adventure		14
38	Five Nights at Freddy's: Help Wanted 2	4.8	3,400	Games	\$46	Survival			24	
39	Walkabout Mini Golf	4.8	13,000	Games	\$34	Sports	Simulation	Hangout	25	
40	Into The Radius 2	4.5	669	Games	\$55	Shooter	Survival Access		26	
41	Cooking Clash	4.7	1,000	Games	\$13	Simulation	Sandbox	Action	27	
42	Tactical Assault VR	4.6	4,100	Games	\$25	Action	Shooter Access		28	
43	NightClub Simulator VR	4.7	3,500	Games	\$7	Simulation	Sandbox	Fighting Access	29	
44	Contractors Showdown : ExfilZone	4.2	6,700	Games	\$26	Shooter	Action	Survival	30	
45	Green Hell VR	4.2	4,900	Games	\$27	Action	Adventure	Survival	31	
46	The Thrill of the Fight 2	3.2	8,700	Games	\$9	Sports	Simulation	Fighting Access	32	
47	VAIL	4.8	46,000	Games	\$0	Action	Shooter			15
48	Batman: Arkham Shadow	4.6	7,200	Games	\$68	Action	Adventure		33	
49	Among Us 3D	3.8	7,300	Games	\$12	Party Game	Hangout	Survival	34	
50	Plastic Battlegrounds	4.9	6,800	Games	\$14	Sandbox Access			35	

Notes: (1) Source: Meta Quest Store 7/27/2025 [LINK](#)

Appendix III: Genre Summary

Unique Genres	Count - All	% of Total	Count - Paid	% of Total	Count - Free	% of Total
Action	22	20%	16	20%	6	19%
Adventure	7	6%	6	8%	1	3%
Arcade	2	2%	2	3%	0	0%
Community	1	1%	0	0%	1	3%
Computer Link	1	1%	1	1%	0	0%
Fighting	2	2%	2	3%	0	0%
Fighting Access	2	2%	2	3%	0	0%
Fitness & Wellness	2	2%	0	0%	2	6%
Hangout	8	7%	3	4%	5	16%
Narrative	1	1%	1	1%	0	0%
Party Game	1	1%	1	1%	0	0%
Racing	1	1%	1	1%	0	0%
Rhythm	1	1%	1	1%	0	0%
Sandbox	12	11%	8	10%	4	13%
Sandbox Access	1	1%	1	1%	0	0%
Shooter	9	8%	8	10%	1	3%
Shooter Access	2	2%	2	3%	0	0%
Simulation	12	11%	9	11%	3	9%
Simulation Access	1	1%	1	1%	0	0%
Sports	10	9%	6	8%	4	13%
Strategy	1	1%	0	0%	1	3%
Survival	8	7%	8	10%	0	0%
Survival Access	1	1%	1	1%	0	0%
Tabletop	1	1%	0	0%	1	3%
World Creation	3	3%	0	0%	3	9%
Total	112	100%	80	100%	32	100%

Notes: (1) Source: Meta Quest Store 7/27/2025 [LINK](#)